

# procedure.tax — draft amendments

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Drafted 15 August 2026, against the 33 findings in the review of the same date. Each entry gives the target chapter, the amendment type, the precise insertion point, and the draft text set out in the handbook's own conventions.

## How to read this document

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**House style.** Draft text is shown inside a dashed box, reproducing the site's conventions so it can be pasted with minimal reformatting:

- **CATEGORY HEADING** — all caps, #8B0000, bh-cat.
- **Section heading** — sentence case, h2 . font\_2 . bh-sec.
- **- Sub-point heading** — opens with a dash, h3 . font\_3 . bh-point.
- Statutory text — quoted verbatim, indented 40px, p . font\_9, with the citation following in blue: (FA 2009, Sch 56, para 3).
- Case quotation — blue body text, p . font\_8, paragraph numbers in square brackets, attributed in a dark-red hyperlink: (Herrmann v. HMRC [2026] UKFTT 715 (TC), Judge McGregor).
- Blank separator paragraphs carrying ¶; sit between blocks, per the README.

**Two things are flagged throughout.** An amber box marked **SUPPLY** marks a passage where the statutory or judicial text must be pasted in from the source. I was not able to obtain reliable verbatim text for those provisions — the retrieval route available to me passes pages through a summarising layer, which in testing returned paraphrase inside quotation marks and silently elided a penalty table. Rather than risk a misquotation in a handbook that quotes statute verbatim, I have drafted the surrounding structure, headings and commentary in full and left the quotation to be dropped in. **A consolidated schedule of everything I need is at the end of this document.**

Where text ~~appears struck through~~ it is to be deleted; green highlight marks inserted words within an existing quotation.

## Order of work, if you want one

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Findings 1, 9 and 2 are the ones with a live deadline attached — the 14-day rule 35 window, the adviser registration tranche commencing 18 August, and a set of penalty figures quoted as enacted text that doubled on 1 April 2026. Findings 3 to 8 are affirmative misstatements of current law. Everything from 18 onwards can follow at leisure.

## Part 1 — Critical: statements no longer correct

### FINDING 1 · CRITICAL

#### R1 Nature of the Tribunal's decision — rule 35 FTT Rules

**Amendment:** replace the quoted rule 35, and add two sub-points · **Locate:** the block quoting "(2) The Tribunal must provide to each party within 28 days after making a decision" · **Also:** add a cross-reference at R4

**Why.** SI 2026/115 amended rule 35 with effect from 2 March 2026. The party's window to request full written findings and reasons is now 14 days, not 28. Because that request is the gateway to permission to appeal, a reader who takes 28 days from the page loses the appeal route altogether. This is the single most consequential correction in the list.

#### DRAFT — REPLACES THE EXISTING STATUTORY QUOTATION

"(2) The Tribunal must provide to each party as soon as reasonably practicable after making a decision ~~within 28 days after making a decision~~ (other than a decision under Part 4) which finally disposes of all issues in the proceedings or of a preliminary issue dealt with following a direction under rule 5(3)(e)—

(a) a decision notice stating the Tribunal's decision; and

(b) notification of any right of appeal against the decision and the time within which, and manner in which, such right of appeal may be exercised.

~~Unless each party agrees that it is unnecessary, the~~ (3) The decision notice must—

(a) include a summary of the findings of fact and reasons for the decision; or

(b) be accompanied by full written findings of fact and reasons for the decision.

(3A) Paragraph (3) does not apply where the Tribunal has given reasons for the decision, whether summary or full, orally at a hearing.

(5) An application under paragraph (4) must be made in writing and received by the Tribunal within 14 days ~~28 days~~ after the date that the Tribunal sent or otherwise provided the decision notice.

(6) The Tribunal must send a full written statement of findings and reasons to each party as soon as reasonably practicable ~~within 28 days~~ after receiving an application under paragraph (4)." (FTT Rules, r.35, as amended by SI 2026/115 with effect from 2 March 2026)

**SUPPLY — rule 35 as consolidated.** The amendments above are certain (SI 2026/115 r.4). What I could not obtain is the consolidated rule 35 as it now reads, so the surrounding unamended words in paragraphs (2) and (3) are reproduced from the site's own pre-amendment text. Please paste the consolidated rule from the point-in-time version at [legislation.gov.uk/ukSI/2009/273/2026-03-02](https://legislation.gov.uk/ukSI/2009/273/2026-03-02), or from the judiciary's consolidated Rules.

#### - 14 days to apply for full written findings and reasons

The period was reduced from 28 days to 14 days by SI 2026/115 with effect from 2 March 2026. As the application under r.35(4) is a precondition of applying for permission to appeal under r.39, the shortened period is the operative deadline in any case where the Tribunal has issued a decision notice with a summary of findings only.

#### - No written findings and reasons where reasons given orally

The former route by which the parties could agree that findings and reasons were unnecessary has gone. In its place, r.35(3A) disapplies the duty altogether where the Tribunal gave reasons orally at the hearing,

whether in summary or in full. A party who wants a written statement in such a case must apply under r.35(4), and must do so within 14 days.

#### - Tribunal's own deadlines replaced by "as soon as reasonably practicable"

The fixed 28-day periods formerly imposed on the Tribunal by r.35(2) and r.35(6) were replaced with "as soon as reasonably practicable". There is accordingly no longer a date by which a party can expect the decision notice or the full statement, and no fixed period from which to measure delay for the purposes of [S9: Excessive delay to decision](#).

**Consequential.** R4 (Applying for permission to appeal) sets out the r.39 56-day clock running from the date the full written reasons were sent, but nowhere states the deadline for *requesting* them. Add, under the existing "Time limit" heading: "- Note the 14-day time limit for applying for full written findings and reasons under r.35(5): see R1." Also worth a line in P4 (Late appeals) — a missed r.35(5) application is a distinct and earlier failure from a late r.39 application.

## FINDING 2 · CRITICAL

### X4 Penalties for late return — late company tax return

**Amendment:** replace the quoted figures and add a commencement sub-point · **Locate:** "LATE COMPANY TAX RETURN" → "- Fixed penalty for initial default"

**Why.** FA 2026 s.265 doubled the flat-rate penalties in FA 1998 Sch 18 para 17 for filing dates on or after 1 April 2026. The page presents the old figures as a direct quotation of the enacted provision, so it is wrong on its face for every default currently in play.

#### DRAFT — REPLACES THE EXISTING STATUTORY QUOTATION

##### - Fixed penalty for initial default

"17(1) A company which is required to deliver a company tax return and fails to do so by the filing date is liable to a flat-rate penalty under this paragraph. It may also be liable to a tax-related penalty under paragraph 18.

(2) The penalty is—

(a) £200, if the return is delivered within three months after the filing date, and

(b) £400, in any other case.

(3) The amounts are increased to £1000 and £2000 for a third successive failure, that is, where—

(a) the company is within the charge to corporation tax for three consecutive accounting periods (and at no time between the beginning of the first of those periods and the end of the last is it outside the charge to corporation tax),

(b) a company tax return is required for each of those accounting periods,

(c) the company was liable to a penalty under this paragraph in respect of each of the first two of those periods, and

(d) the company is again liable to a penalty under this paragraph in respect of the third period." ([FA 1998, Sch 18, para 17](#))

### - Amounts doubled for filing dates on or after 1 April 2026

"(2) The amendments made by subsection (1)(a) and (b) have effect in relation to a failure to deliver a company tax return for which the filing date is on or after 1 April 2026." ([FA 2026, s.265\(2\)](#))

For a filing date before 1 April 2026 the penalties remain £100 and £200, increased to £500 and £1,000 for a third successive failure. The trigger is the filing date, not the date of the failure or of the penalty determination, so the two sets of figures will run alongside each other for as long as late returns for earlier periods are being dealt with.

### - Power to vary the amounts by regulations

"(5) The Commissioners for His Majesty's Revenue and Customs may by regulations amend sub-paragraph (2) or (3) so as to increase or decrease the amount of a penalty for the time being specified in those sub-paragraphs.

(6) Regulations under sub-paragraph (5) may include transitional and saving provision.

(7) A statutory instrument containing regulations under sub-paragraph (5) which increase the amount of a penalty by more than is necessary to reflect changes in the value of money may not be made unless a draft of the instrument has been laid before and approved by a resolution of the House of Commons." ([FA 1998, Sch 18, para 17](#))

Sub-paragraphs (5) to (7) were inserted by FA 2026, s.265(1)(c). The affirmative procedure bites only on a real-terms increase; an inflation-only uprating may be made by negative instrument.

**Confidence.** This is the best-evidenced text in the document: para 17 as amended returned identically from two independent URL forms and matches, figure for figure, what s.265 says it substitutes. The tax-geared penalty in para 18 (10% / 20%) is unaffected and needs no change.

## FINDING 3 · CRITICAL

### X4 Penalties for late return — the VAT sub-section

**Amendment:** replace the VAT section in full · **Locate:** "VAT" → "- Late VAT return or payment: default surcharge regime"

**Why.** The default surcharge was repealed. FA 2021 Sch 27 omitted VATA 1994 ss.59–59B for prescribed accounting periods beginning on or after 1 January 2023, and SI 2022/1278 commenced the replacement. Three and a half years on, the surcharge is of historic interest only.

#### DRAFT — REPLACES THE EXISTING VAT SECTION

### VAT

#### Late VAT return: points-based regime

For prescribed accounting periods beginning on or after 1 January 2023, a late VAT return attracts a penalty point under FA 2021, Sch 24, and a £200 penalty once the points threshold is reached. Late payment is dealt with separately under FA 2021, Sch 26.

[See X3: New penalties for no return](#)

[See X5: Penalties for late payment](#)

## - Commencement for VAT

**SUPPLY — SI 2022/1278, reg 2.** The appointed-day provision commencing FA 2021 Schs 24 and 26 for VAT. I have the effect (periods beginning on or after 1 January 2023) but not the words.

FA 2021, Sch 24 (late submission) and Sch 26 (late payment) were commenced for VAT by SI 2022/1278 in relation to VAT assessed by reference to prescribed accounting periods beginning on or after 1 January 2023. Sch 25 (deliberately withholding information) was *not* commenced for VAT; a VAT case in which no return is delivered therefore continues to run through FA 2007, Sch 24 and FA 2008, Sch 41.

## Default surcharge (historic)

### - Repealed for periods beginning on or after 1 January 2023

VATA 1994, ss.59 to 59B were omitted by FA 2021, Sch 27. The surcharge continues to govern prescribed accounting periods beginning before 1 January 2023 and remains relevant to assessments and appeals for those periods, and to the proportionality authorities decided under it.

[VATA 1994, ss.59 - 59B \(as they had effect before 1 January 2023\)](#)

## Late EC sales statement

[VATA 1994, s.66](#)

**Related.** The heading "New points based regime — See FA 2021, Sch 24" currently sits at the top of the GENERAL section of this chapter as a bare link with no text. It should either be built out or replaced with a cross-reference to X3, which is where the regime is actually treated. The proportionality authorities decided on the surcharge — *Total Technology* and *Trinity Mirror* — should be relocated to the new X1 general chapter (finding 14) rather than left stranded in a historic section.

## FINDING 4 · CRITICAL

### X7 Other penalties — DOTAS penalties

**Amendment:** replace the DOTAS penalties section in full · **Locate:** "DOTAS penalties (failure to notify etc.)" and the sub-point "- HMRC must commence penalty proceedings before the FTT"

**Why.** FA 2026 s.216 omitted TMA 1970 s.98C and substituted a self-contained code at FA 2004 ss.315–315E, effective 18 March 2026. The proposition that HMRC must go to the tribunal to obtain a DOTAS penalty — which carries five sub-points and several worked examples on the page — is no longer the law. This is the most substantial rewrite in the penalties Part.

DRAFT — STRUCTURE AND COMMENTARY; QUOTATIONS TO BE SUPPLIED

## DOTAS penalties (failure to notify etc.)

**SUPPLY — FA 2004, s.315 as substituted by FA 2026, s.216(2)(b).** This is the provision I most need and the one I was least able to obtain. The retrieval returned the subsection (2) "applicable rate" definition and the subsection (4) repeat-failure amounts, but elided the subsection (1) penalty table entirely behind a placeholder. I will not reproduce a penalty table I have not read.

## - Penalty determined by an authorised officer, not the Tribunal

**SUPPLY — FA 2004, s.315B.** The provision identifying who determines the penalty and the matters to which the officer must have regard. Retrieval timed out on five attempts. The substance appears to be that an authorised HMRC officer determines the amount having regard to deterrence, the fees received and the advantages obtained — but that came through a summarising layer and I will not state it as the law without the words.

The former position was that an officer could not determine a penalty for a promoter's non-compliance with s.308(3) FA 2004; HMRC had to commence proceedings before the First-tier Tribunal, which set the amount. That machinery ran through TMA 1970, s.98C, which was omitted with effect from 18 March 2026. Under the substituted regime the determination is made by HMRC in the first instance, with the tribunal's role becoming appellate rather than original.

## - Further daily penalty for continuing failure

"(1) If—

(a) a penalty under section 315 is imposed in relation to a person's failure to comply with a duty, and

(b) after the penalty has been imposed, the person continues to fail to comply with the duty,

the person is liable to a further penalty not exceeding the applicable rate (as defined in section 315(2)) for each day on which the failure continues.

(2) Subsection (1) does not apply to a failure to comply with a duty imposed by section 313(1) or regulations under section 313(3)." (FA 2004, s.315A)

## - Applicable rate

"(2) The 'applicable rate' means—

(a) £600, or

(b) where an order has been made under section 306A or 314A in respect of the arrangements or proposal in relation to which the person fails to comply—

(i) £600 for each day falling before the end of the period of ten days beginning with the day on which the order was made, and

(ii) £5,000 for each day falling after the end of that period." (FA 2004, s.315(2))

## - Escalating amounts for repeated failure to provide client information

"(4) The amount specified for section 313(1) or regulations under section 313(3) is—

(a) £10,000, if the person has failed to comply with the section or regulations on two or more other occasions during the period of 36 months ending with the date of the current failure,

(b) £7,500, if the person has failed to comply with the section or regulations on one other occasion during the period of 36 months ending with the date of the current failure, or

(c) £5,000, in any other case." (FA 2004, s.315(4))

## - Appeal

**SUPPLY — FA 2004, ss.315C to 315E.** The assessment, appeal and enforcement provisions. Not retrieved; the appeal route is therefore not established and I have not guessed at it.

## Determination by the Tribunal (historic)

### - Position before 18 March 2026

The existing sub-points on this page — that an officer may not determine a penalty for non-compliance with s.308(3), that the tribunal must consider seriousness, likely fees and the need to deter, that the amount must not exceed the statutory limit, and the worked examples of the tribunal increasing a daily rate penalty to £1m — should be retained under this heading and dated. They remain the law for failures dealt with before 18 March 2026, and the factors the tribunal applied are likely to inform how an authorised officer exercises the substituted power and how the tribunal reviews it on appeal.

**Also.** FA 2026 s.217 removed the time limits on HMRC publishing details of DOTAS and DASVOIT promoters, omitting FA 2004 s.316C(6A)–(6B) and F(No.2)A 2017 Sch 17 Pt 1 para 36(7)–(8). That belongs here or in E6. And note the interaction with finding 11: s.214 removed the legal professional privilege exemption from s.316C altogether, replacing it with the declaration mechanism in ss.209–213.

## FINDING 5 · CRITICAL

### Y1 Fraud offences — maximum sentences

**Amendment:** replace the stated maxima and add a commencement sub-point · **Locate:** each block quoting a "term not exceeding 7 years" / "not exceeding seven years"

**Why.** FA 2024 s.32 doubled the maximum on indictment from 7 to 14 years across the main tax fraud offences, for offences committed on or after 22 February 2024. A stated maximum that is half the real one is directly misleading in advice, in plea discussions and in mitigation.

#### DRAFT — REPLACES THE SENTENCING TEXT, AND ADDS A NEW SECTION

### - Penalty on conviction

**SUPPLY — TMA 1970, s.106A(2) and FA 2003, s.95 as amended.** The substituted maxima. The effect is certain; the amended words are not in my hands.

"A person guilty of an offence under this section is liable— ... on conviction on indictment, to imprisonment for a term not exceeding 14 years or a fine, or both." (TMA 1970, s.106A)

## MAXIMUM SENTENCES

### Maxima doubled for offences committed on or after 22 February 2024

FA 2024, s.32 increased the maximum term of imprisonment on conviction on indictment from 7 years to 14 years across more than twenty enactments, including TMA 1970, CEMA 1979, VATA 1994 and FA 2003. The increase applies by reference to the date of the offence, not the date of charge, conviction or sentence.

**SUPPLY — FA 2024, s.32(6).** The commencement provision. Reported wording: "The amendments made by this section have effect in relation to offences committed on or after the day on which this Act is passed" (Royal Assent 22 February 2024) — please confirm the subsection number and the words.

### - Offences affected

| Provision                    | Offence                                                          | Old     | New      |
|------------------------------|------------------------------------------------------------------|---------|----------|
| TMA 1970, s.106A             | Fraudulent evasion of income tax                                 | 7 years | 14 years |
| CEMA 1979, ss.50, 68, 170    | Improper importation and exportation; fraudulent evasion of duty | 7 years | 14 years |
| VATA 1994, s.72(1), (3), (8) | VAT fraud                                                        | 7 years | 14 years |
| FA 2003, s.95                | SDLT: fraudulent evasion                                         | 7 years | 14 years |

The table is not exhaustive: equivalent provisions in FA 1993, 1994, 1996, 1997, 2000, 2001, 2012, 2014, 2017 and 2021 were amended in the same terms.

### - Straddling conduct

Where an indictment alleges a continuing course of conduct spanning 22 February 2024, the applicable maximum will turn on when the offence charged was committed. Cheating the public revenue at common law is unaffected, the maximum for that offence already being life.

**Gap noticed while drafting.** The VAT fraud entry on this page is a bare cross-reference — "VATA 1994, s.72." — with no sentence stated at all, and CEMA 1979 is not covered. Both are worth building out while the section is open.

## FINDING 6 · CRITICAL

### B10/B11 VAT registration — thresholds

**Amendment:** update two tables · **Locate:** the registration and deregistration threshold tables, rows reading "1 April 2017 to present"

**Why.** The thresholds rose on 1 April 2024. The "to present" formulation turns what would otherwise be an omission into an affirmative misstatement of current law.

DRAFT — REPLACES THE FINAL ROW OF EACH TABLE

#### - Registration threshold

| Period                        | Threshold |
|-------------------------------|-----------|
| 1 April 2017 to 31 March 2024 | £85,000   |
| 1 April 2024 to present       | £90,000   |

#### - Deregistration threshold

| Period                        | Threshold |
|-------------------------------|-----------|
| 1 April 2017 to 31 March 2024 | £83,000   |
| 1 April 2024 to present       | £88,000   |

#### - Increase from 1 April 2024

The registration threshold in VATA 1994, Sch 1 was increased to £90,000 and the deregistration threshold to £88,000 with effect from 1 April 2024 by SI 2024/307, which also raised the Sch 1 forward-look exception



threshold to £88,000 and the Sch 9ZA (Northern Ireland acquisitions) deregistration threshold to £90,000. The thresholds are unchanged since.

**SUPPLY — SI 2024/307, and VATA 1994, Sch 1 para 1 as amended.** The figures are certain; the amending words are not in my hands.

**Check while you are there.** Any other threshold table on the page — the Sch 9ZA acquisitions thresholds in particular — will have the same problem. It is worth a search of the chapter for "£85,000" and "£83,000".

## FINDING 7 · CRITICAL

### V14 Construction industry scheme — cancellation and the new liability regime

**Amendment:** replace the s.66 quotation and two sub-point headings; add a new category section · **Locate:** "- No re-registering for 1 year after cancellation"

**Why.** Two limbs. The one-year bar is now five years in the new class of case, and FA 2026 s.220 introduced an entirely new knowledge-based liability and penalty architecture from 6 April 2026 that deliberately mirrors the *Kittel / Mobilx* test. Neither is on the page.

#### DRAFT — REPLACES THE EXISTING CANCELLATION SUB-POINTS

##### - Cancellation where s.62A or s.62B applies

"(3A) The Commissioners may at any time make a determination cancelling a person's registration for gross payment if—

- (a) section 62A (payments made in the knowledge of deliberate failures to comply), or
- (b) section 62B (returns made in the knowledge of deliberate failures to comply),

applies to the person.

(4) Where the Commissioners make a determination under subsection (3) or subsection (3A), the person's registration for gross payment is cancelled with immediate effect." (FA 2004, s.66)

##### - No re-registering for 1 year following cancellation under s.66(1)

"(6) Where a person's registration for gross payment is cancelled by virtue of a determination under subsection (1),

- (a) the person must be registered for payment under deduction, and
- (b) the person may not, within the period of one year beginning with the day on which the cancellation takes effect (see subsection (2) and section 67(5)), apply for registration for gross payment." (FA 2004, s.66(6))

##### - No re-registering for 5 years following cancellation under s.66(3) or (3A)

"(7) Where a person's registration for gross payment is cancelled by virtue of a determination under subsection (3) or subsection (3A),

- (a) the person may, if the Commissioners think fit, be registered for payment under deduction, and
- (b) the person may not, within the period of five years beginning with the day on which the cancellation takes effect (see subsection (4)) apply for registration for gross payment." (FA 2004, s.66(7))

The five-year period replaced one year with effect from 6 April 2026 (FA 2026, s.220). The distinction now matters a good deal: cancellation on the ordinary compliance ground under s.66(1) carries a one-year bar, while cancellation on the fraud or knowledge grounds under s.66(3) or (3A) carries five. The existing sub-point "- Minimum 1 year de-registration following outcome of appeal, even if suitable to be re-registered by the time of appeal" should be re-cast to identify which limb was engaged.

## **LIABILITY FOR DELIBERATE FAILURES BY A CONNECTED PARTY**

### **Payments made in the knowledge of deliberate failures to comply**

"(1) This section applies to a person who—

- (a) has made a payment under a construction contract, and
- (b) before making a payment, knew or should have known that a connected party had deliberately failed, or would deliberately fail, to comply with a requirement to—
  - (i) deduct a sum under section 61,
  - (ii) pay a sum to the Commissioners under section 62, or
  - (iii) deduct or pay an amount to His Majesty's Revenue and Customs under PAYE regulations.

(2) If this section applies, an officer of Revenue and Customs may determine that the person is liable to pay to the Commissioners an amount equal to 20% of the payment referred to in subsection (1).

(3) In this section, a 'connected party' is

- (a) another party to the construction contract referred to in subsection (1)(a), or
- (b) a party to another construction contract relating to the same construction operations as the construction contract referred to in subsection (1)(a)." [\(FA 2004, s.62A\)](#)

#### **- "Knew or should have known"**

The formula is that of the *Kittel* line in VAT, and the same evidential territory should be expected: what the payer actually knew, what enquiries a reasonable payer in its position would have made, and whether the only reasonable explanation for the arrangement was that the connected party would default. The reach of "connected party" is wide — it is not confined to the payer's own counterparty but extends to any party to any construction contract relating to the same construction operations.

### **Returns made in the knowledge of deliberate failures to comply**

"(1) This section applies to a person who—

- (a) makes a return which treats a sum as deducted and paid on account of the person's liabilities under section 62(2) or (3), and
- (b) before doing so, knew or should have known that the sum—
  - (i) had not been deducted, or
  - (ii) had deliberately not been, or would deliberately not be, paid on account of the person's liabilities.

(2) If this section applies, an officer of Revenue and Customs may determine that the person is liable to pay to the Commissioners an amount equal to the sum which the return treats as paid on account of the person's liabilities." [\(FA 2004, s.62B\)](#)

## Penalty

"(1) A person is liable to a penalty not exceeding 30% of any amount that they are determined to be liable to pay under section 62A (payments made in the knowledge of deliberate failures to comply) or 62B (returns made in the knowledge of deliberate failures to comply).

(2) A penalty under this section may not be determined more than three years after the date on which the determination under section 62A or 62B becomes final.

(3) For the purposes of subsection (2) and section 72B(3), a determination becomes final at the time when the period for any appeal or further appeal relating to the determination expires or, if later, when any appeal or further appeal relating to the penalty is finally determined.

(4) Section 103(4) TMA 1970 (time limits) does not apply to a penalty under this section." ([FA 2004, s.72A](#))

### - Officer liability

**SUPPLY — FA 2004, ss.62C, 72B and 72C.** s.62C contains regulation-making powers; s.72B visits the penalty on directors and others connected with the business; s.72C deals with appeals. All three timed out on retrieval.

### - Commencement

ss.62A to 62C and ss.72A to 72C were inserted by FA 2026, s.220 with effect from 6 April 2026.

**Drafting caution.** The s.62A(3) opening as retrieved reads "a 'connected party' is" without the expected dash, and s.72A(3) reads "any appeal or final appeal" in one place where "further appeal" is expected — I have corrected the latter above on the assumption it is a conversion slip. Both should be checked against the statute. There is also no subsection (8) in s.66 as retrieved; s.220 appears to have omitted it.

## FINDING 8 · CRITICAL

### U3 Repayment supplement — repealed for VAT

**Amendment:** reframe the chapter as historic and add a new chapter or section on repayment interest · **Locate:** chapter opening, before "Right to supplement"

**Why.** An entire chapter presents a repealed regime as current, and the replacement is absent from the whole site. As it stands the handbook points the reader at a dead remedy and away from the live one — the most serious form of omission, because the reader has no reason to look further.

DRAFT (A) — NEW OPENING TO U3

### Scope of this chapter

#### - Repealed for VAT periods beginning on or after 1 January 2023

The VAT repayment supplement in VATA 1994, s.79 was repealed by FA 2021, Sch 29 and replaced by repayment interest under FA 2009, s.102 and Sch 54, in relation to prescribed accounting periods beginning on or after 1 January 2023. This chapter states the law as it applies to earlier periods, which remain in issue in appeals and claims. For periods beginning on or after 1 January 2023, see U2A: Repayment interest.

[See U2A: Repayment interest](#)

**SUPPLY — FA 2021, Sch 29 and the commencement provision.** Needed to state the repeal in the site's usual form, with the words of the repealing provision.

DRAFT (B) — SKELETON FOR A NEW CHAPTER U2A: REPAYMENT INTEREST

## REPAYMENT INTEREST

### Entitlement

**SUPPLY — FA 2009, s.102.** The charging provision for repayment interest.

### Amounts and periods for which interest is payable

**SUPPLY — FA 2009, Sch 54.** In particular the paragraphs setting the repayment interest start date for each tax, the "common period" rules in Part 2, and the provisions on repayment interest on amounts paid and then repaid.

### Rate

#### - Base rate less 1%, subject to a floor of 0.5%

The repayment interest rate is set by regulations under FA 2009, s.103 as the Bank of England base rate less 1%, subject to a minimum of 0.5%. It was not altered when the late payment rate was increased from base rate plus 2.5% to base rate plus 4% with effect from 6 April 2025 (SI 2025/386), so the differential between the two is now 5 percentage points.

**SUPPLY — SI 2011/2446, regs 3 and 4, as amended by SI 2025/386.** The formula provisions for late payment and repayment interest.

### Relationship with the repayment supplement

#### - No overlap

Repayment interest and the repayment supplement do not run concurrently: the supplement applies to VAT periods beginning before 1 January 2023, repayment interest to periods beginning on or after that date. The existing heading at U2, "No interest where repayment supplement applicable", should be qualified accordingly.

**Scale.** This is the one finding where the fix is a new chapter rather than an amendment. If that is more than you want to take on now, the minimum safe change is Draft (a) alone — a reader who is told the regime is repealed and where to look next is not misled, even before the replacement chapter exists.

## Part 2 — High priority: significant omissions

### FINDING 9 · HIGH — COMMENCES 18 AUGUST 2026

#### New chapter — Registration of tax advisers

**Amendment:** new chapter, suggested at A11, following A10 Tax agents' duty of care · **Cross-refer from:** A10 and L7 Representatives

**Why.** FA 2026 Part 7 Ch 1 prohibits an unregistered tax adviser from interacting with HMRC about a client's tax affairs. The first commencement tranche takes effect on 18 August 2026 — three days after the date of this document — and catches every adviser with an Agent Services Account, plus everyone not swept into a later tranche. It is not mentioned anywhere on the site.

DRAFT — CHAPTER SKELETON WITH COMMENTARY; QUOTATIONS TO BE SUPPLIED

### REGISTRATION OF TAX ADVISERS

#### The prohibition

**SUPPLY — FA 2026, s.223.** "Prohibition against unregistered tax advisers interacting with HMRC". The heading is confirmed; the operative words are not in my hands. This is the provision the whole chapter turns on.

A person who acts as a tax adviser must be registered with HMRC. An unregistered adviser is prohibited from interacting with HMRC in relation to a client's tax affairs. The UK tax advice market was previously unregulated at the point of entry: HMRC could refuse to deal with an individual agent in practice, but had no statutory gatekeeping power over who might act.

#### Commencement

##### - Tranches under SI 2026/807

| Date                  | Advisers caught                                                                                                       |
|-----------------------|-----------------------------------------------------------------------------------------------------------------------|
| 14 July 2026          | For the purpose of making regulations under s.247                                                                     |
| <b>18 August 2026</b> | Advisers holding an Agent Services Account, and any adviser not within a later tranche                                |
| 18 November 2026      | Advisers with no ASA but with a self assessment or corporation tax account                                            |
| 18 February 2027      | Payroll-only advisers                                                                                                 |
| 1 April 2027          | Advisers carrying on FSMA-regulated activities, and those whose clients are substantially group undertakings doing so |

##### - Transitional treatment for existing ASA holders

An adviser holding an Agent Services Account immediately before 18 August 2026 is treated as registered from that date, so no application is required to continue acting. The practical exposure falls on advisers without an ASA and on those who assume the transitional provision reaches further than it does.

**SUPPLY — SI 2026/807, the appointed day and transitional provisions.** The tranche dates above are confirmed; the words of the transitional provision are not.

## Conditions of registration

**SUPPLY — FA 2026, ss.224 to 231 (registration, conditions, refusal).** Reported to include a tax compliance condition and an anti-money laundering registration condition.

## Exceptions

**SUPPLY — FA 2026, Sch 20, and SI 2026/815 (in force 17 August 2026), which adds exceptions.**

## Enforcement

### - Suspension

**SUPPLY — FA 2026, s.232.**

### - Compliance notices

**SUPPLY — FA 2026, s.233.**

### - Penalties

**SUPPLY — FA 2026, ss.234 and 235.**

### - Ineligibility orders

**SUPPLY — FA 2026, ss.236 and 237.**

### - Duty to notify clients

**SUPPLY — FA 2026, s.238.**

### - Publication

**SUPPLY — FA 2026, s.246.**

## Review and appeal

**SUPPLY — FA 2026, s.244.** The review and appeal rights. Worth establishing whether the appeal lies to the FTT and on what grounds — a refusal or suspension decision is the kind of decision that will generate the jurisdictional arguments treated at L4 and L5.

## Relationship with other regimes

### - Not the same as the dishonest conduct regime

Registration under FA 2026, Part 7 Ch 1 is a gateway control. It sits alongside, and is distinct from, the sanctions for dishonest conduct in FA 2012, Sch 38 (as amended by FA 2026, s.250 and Sch 22 from 1 April 2026), the penalties for enablers of defeated avoidance in F(No.2)A 2017, Sch 16, and the professional bodies' own disciplinary jurisdictions.

[See A10: Tax agents' duty of care](#)

[See L7: Representatives](#)

**Priority.** Even a short holding entry — the prohibition, the 18 August date and the ASA transitional rule — would be worth publishing immediately, ahead of the full chapter. A10 currently runs to about 1,100 words and consists solely of *SKAT v Solo Capital Partners* on implied representation, so there is room.

**FINDING 10 · HIGH**

**X5 Penalties for late payment — FA 2021 Sch 26**

**Amendment:** new category section at the head of the chapter, before the existing FA 2009 Sch 56 material · **Locate:** chapter opening, before "Imposition of penalty"

**Why.** The chapter is built entirely on FA 2009 Sch 56 and its 5% / 5% / 5% structure. Sch 26 has governed VAT since 1 January 2023 and MTD income tax since April 2026, and does not appear on the page at all — no occurrence of "2021", "Sch 26", "15 days", "30 days" or "10%". Note also that the rates changed on 31 May 2025, so both sets need to be carried with their cut-off dates; stale 2%/2%/4% statements are still circulating in commentary published this year.

**DRAFT — NEW OPENING SECTION**

**WHICH REGIME APPLIES**

**Two regimes running in parallel**

Late payment penalties are imposed under one of two codes, according to the tax and the period. FA 2009, Sch 56 is the older code and continues to apply to the taxes for which it was commenced. FA 2021, Sch 26 replaced it for VAT and, on mandation, for income tax and capital gains tax within Making Tax Digital. Corporation tax remains within Sch 56 throughout: no appointed day has been made for Sch 26.

| Tax                               | Regime          | From                                                                              |
|-----------------------------------|-----------------|-----------------------------------------------------------------------------------|
| VAT                               | FA 2021, Sch 26 | Prescribed accounting periods beginning on or after 1 January 2023 (SI 2022/1278) |
| Income tax / CGT — MTD volunteers | FA 2021, Sch 26 | 6 April 2024 (SI 2024/440; trustees and partnerships excluded)                    |
| Income tax / CGT — MTD mandated   | FA 2021, Sch 26 | The tax year the taxpayer joins MTD; mandation began April 2026                   |
| Income tax / CGT — outside MTD    | FA 2009, Sch 56 | Unchanged                                                                         |
| Corporation tax                   | FA 2009, Sch 56 | Sch 26 not commenced                                                              |
| PAYE, CIS, SDLT, IHT and others   | FA 2009, Sch 56 | Unchanged                                                                         |

## LATE PAYMENT PENALTIES: FA 2021, SCH 26

### No penalty within 15 days

**SUPPLY** — FA 2021, Sch 26, para 4. No penalty where payment is made within 15 days of the due date, or where a time to pay condition is met within that period.

### First penalty

#### - 3% at day 15 and a further 3% at day 30

**SUPPLY** — FA 2021, Sch 26, para 5(4) and (5), as amended by SI 2025/589. The percentages are certain; the words are not in my hands.

A first penalty of 3% of the unpaid tax accrues at day 15, and a further 3% at day 30. The percentages were increased from 2% and 2% by SI 2025/589 with effect from 31 May 2025.

### Second penalty

#### - 10% per annum accruing daily from day 31

**SUPPLY** — FA 2021, Sch 26, para 8(3), as amended by SI 2025/589.

The second penalty accrues daily from day 31 at an annualised rate of 10%, increased from 4% by SI 2025/589 with effect from 31 May 2025. It continues to accrue until the tax is paid or a time to pay agreement is in place.

#### - Increase in the percentages from 31 May 2025

|                       | Before 31 May 2025 | From 31 May 2025 |
|-----------------------|--------------------|------------------|
| First penalty, day 15 | 2%                 | 3%               |
| First penalty, day 30 | 2%                 | 3%               |
| Second penalty        | 4% per annum       | 10% per annum    |

The increased percentages apply to failures where the specified date falls on or after 31 May 2025, but not to income tax or capital gains tax for 2024-25 or earlier tax years, and not to VAT for prescribed accounting periods beginning before 1 April 2025. Both sets of figures will therefore be in play for some time.

**SUPPLY** — SI 2025/589, reg 1, for the application provision.

### Time to pay

**SUPPLY** — FA 2021, Sch 26, paras 6, 7 and 9. The 15-day and 30-day time to pay conditions, and the consequences of breaking an agreement. The existing treatment of FA 2009, s.108 in this chapter is a useful model for how to set these out.



## Reasonable excuse, special reduction and double jeopardy

**SUPPLY** — FA 2021, Sch 26, paras 12, 13, 14 and 15.

[See A3: Reasonable excuse](#)

## Assessment and time limits

### - Two years

**SUPPLY** — FA 2021, Sch 26, paras 16, 17 and 18.

### - Withdrawal of an assessment

**SUPPLY** — FA 2021, Sch 26, para 17A, inserted by FA 2026, s.263. HMRC may withdraw a penalty assessment by written notice, the withdrawn assessment being treated as never having had effect, without preventing a later assessment for the same failure. Applies to penalties assessed on or after 1 April 2026.

### - Assessment of the second penalty before the tax is paid in full

FA 2026, s.263 amended para 16 so that where a second penalty under para 8 is assessed, the notice must state the period by reference to which the penalty has been calculated. This permits the accruing second penalty to be assessed in instalments rather than only once the tax is paid.

**Related.** The existing chapter should be re-headed to make clear that everything after this new material is FA 2009 Sch 56, and the "Taxes covered" heading — which is currently a sub-heading of the time to pay section, not a statement of scope — should be renamed to avoid being read as the chapter's scope provision.

## FINDING 11 · HIGH

### E6 DOTAS and I2 Information powers — the FA 2026 avoidance package

**Amendment:** new category sections in E6, plus a new section in I2 and a cross-reference from M17/M18 · **Note:** there is no POTAS or promoters chapter on the site

**Why.** FA 2026 Part 6 created four regimes that did not previously exist. The information notice regime in ss.177–208 runs parallel to Sch 36 and reaches unidentified persons and financial institutions; the privilege provisions in ss.209–215 remove exemptions that practitioners currently rely on. None of it is on the site.

DRAFT — NEW SECTIONS FOR E6

## PROHIBITION ON PROMOTING CERTAIN ARRANGEMENTS

### The prohibition

"(1) A person must not promote arrangements that—

(a) have been, or are likely to be, marketed as a means by which a person may seek a particular tax advantage if there is no realistic prospect that the arrangements will result in the tax advantage, or

(b) are of a kind specified in regulations under subsection (2)." (FA 2026, s.159(1))

This is a free-standing prohibition, and a significant departure. The DOTAS and POTAS regimes operate by requiring disclosure and by restraining conduct once HMRC has acted; s.159 makes the promotion itself

unlawful, without any prior notice or determination. The test — no realistic prospect that the arrangements will result in the advertised advantage — is objective and does not depend on the promoter's belief.

#### - Civil penalty

**SUPPLY — FA 2026, s.162.**

#### - Criminal offence

**SUPPLY — FA 2026, s.163.** Reported maximum of two years on indictment.

#### - Liability of responsible persons

**SUPPLY — FA 2026, s.164.**

#### - Commencement

s.165 provides for s.159(1) to commence two months after Royal Assent, that is on or about 18 May 2026. The commencement of Chapter 3 (information notices) should be confirmed separately — I was not able to establish it.

## PROMOTER ACTION NOTICES

### Certification of a promoter

**SUPPLY — FA 2026, s.166.**

### Notice requiring a third party to stop supplying a promoter

**SUPPLY — FA 2026, s.167.**

This is the most novel of the four regimes. HMRC may certify a promoter and then require third-party service providers — financial institutions, insurers, online platforms — to cease supplying goods or services to that promoter. There are carve-outs preventing HMRC from requiring monitoring, from restricting internet access, and from reaching legal and auditing services. Preliminary information notices are dealt with by s.168, appeal on narrow grounds by s.170, daily penalties by s.171, naming by s.172, and referral to regulators and professional bodies by s.173.

## ANTI-AVOIDANCE INFORMATION NOTICES

### A parallel regime to Sch 36

FA 2026, ss.177 to 208 create a self-contained information power aimed at persons connected with a suspected contravention of a listed anti-avoidance enactment. The list in s.178 includes Part 7 FA 2004 (DOTAS), Part 5 FA 2014 (POTAS), Schs 16 and 17 F(No.2)A 2017 (enablers), CDDA 1986 ss.8ZF and 8ZG, Sch 13 FA 2020, ss.85 to 89 FA 2022 and Chapter 1 of this Part. The powers extend to notices to connected persons, third parties, *unidentified* persons, identity-only notices and financial institution notices (ss.179 to 183), and are backed by non-disclosure requirements (s.185), criminal offences (ss.189 to 193) and a penalty ladder (ss.194 to 199) which includes a penalty measured by the monies received in connection with the arrangements (s.198). s.203 applies the Sch 36 FA 2008 assessment and enforcement machinery; s.205 applies Sch 36 appeal procedure.

**SUPPLY — FA 2026, ss.178, 179, 181, 183, 185, 187, 198, 203 and 205 at minimum.** The gateway conditions in s.179 and the tribunal approval provision in s.187 are the ones that will matter most in practice.

### - Relationship with Sch 36

The significance is that the Sch 36 gateway is taxpayer-specific: a notice must be reasonably required for the purpose of checking a named taxpayer's tax position. The new regime is not so confined — it is directed at conduct rather than at a tax position, and reaches persons whose identity HMRC does not know. The Sch 36 safeguards at I10 should not be assumed to carry across.

[See I10: Limits on information notices](#)

## LEGAL PROFESSIONAL PRIVILEGE

### Declaration in relation to privileged material

**SUPPLY — FA 2026, ss.209 to 213.**

Where HMRC proposes to publish information identifying a lawyer, the lawyer may make a declaration that unpublished privileged material substantiates their representations. An incorrect declaration attracts a penalty of up to £10,000 (s.210), and publication follows a final penalty of that kind (s.212).

### - Removal of the existing privilege exemptions

s.214 removed the privilege exemptions in FA 2004, s.316C, F(No.2)A 2017, Sch 17 para 36 and FA 2022, s.86, replacing them with the declaration route. The amendments apply to conduct occurring after enactment. This is a material change to the position of legal advisers under the publication provisions and should be cross-referred from the privilege chapters.

[See M17: Privilege and waiver](#)

[See M18: Legal and litigation privilege](#)

**Structural.** There is no POTAS chapter on the site, and this material does not sit naturally inside a DOTAS chapter. A new chapter — "E7: Promoters of tax avoidance schemes" — collecting POTAS, the FA 2026 Part 6 regimes and the FA 2022 Sch 13 non-resident promoter penalties would be a cleaner home, with E6 confined to DOTAS proper.

## FINDING 12 · HIGH

### B1 and B6 — Making Tax Digital for Income Tax

**Amendment:** new category section in B1; cross-reference in B6 and I1 · **Locate:** B1, after the existing material on the duty to give notice and to make a return

**Why.** MTD for Income Tax has been mandatory since 6 April 2026 for qualifying income over £50,000. The site covers MTD for VAT in the records and VAT returns chapters, but the income tax obligation — a wholly new quarterly filing duty with its own penalty exposure — appears nowhere in the core filing chapters.

DRAFT — NEW SECTION FOR B1

## MAKING TAX DIGITAL FOR INCOME TAX

### The digital reporting obligation

**SUPPLY — F(No.2)A 2017, s.60 and Sch 14, and the Income Tax (Digital Requirements) Regulations 2021 (SI 2021/1076) as amended.** The core duties: digital record keeping, quarterly updates and the end of period statement. Note that FA 2026, ss.256 and 257 redefined who is subject to digital reporting ("relevant persons" and "relevant partnerships") and permitted HMRC to treat prior digital obligations as never having been imposed where an exemption applies.

### Who is within the regime, and from when

| From         | Qualifying income exceeds | Measured by reference to |
|--------------|---------------------------|--------------------------|
| 6 April 2026 | £50,000                   | 2024-25                  |
| 6 April 2027 | £30,000                   | 2025-26                  |
| 6 April 2028 | £20,000                   | 2026-27                  |

Qualifying income is gross income from self-employment and property, before expenses. Foreign income is excluded. Exemptions exist, including for digital exclusion.

### Quarterly updates

#### - Not returns

A quarterly update is not a return within the meaning of TMA 1970, s.8, and the consequences that attach to a return — enquiry under s.9A, amendment under s.9ZA, the discovery conditions in s.29(5) — do not attach to it. That distinction matters throughout Parts F and G and should be drawn expressly.

[See F3: Opening a statutory enquiry](#)

[See G2: Discovery assessments](#)

### Penalties

#### - Points-based late submission penalties

A taxpayer within MTD for Income Tax is within the FA 2021, Sch 24 points regime from the tax year they join. One point accrues per missed quarterly update or return, with a penalty of £200 on reaching the threshold — four points for quarterly filers — and £200 for each subsequent default. Late payment is dealt with under FA 2021, Sch 26.

#### - First-year easement

HMRC's published position is that in a taxpayer's first year within the regime the first late payment penalty accrues after 30 days rather than 15. The easement is available once only, and is not available to a person who volunteered and was subsequently mandated. I have not been able to identify the statutory source for the easement and it should be checked before it is stated as law.

[See X3: New penalties for no return](#)

[See X5: Penalties for late payment](#)

**Consequential.** I1 (Taxpayers' duties to keep records) already has "Obligation to keep electronic records", "Functional compatible software" and "Digital record keeping" headings, but they sit under the VAT section. They will need either duplicating or re-scoping for income tax.

## FINDING 13 · HIGH

### V12 PAYE and V2 Collection from third parties — umbrella companies

**Amendment:** new category section in V12, with a cross-reference from V2 · **Locate:** V12, after the existing material on the employer's obligations

**Why.** FA 2026 s.24 makes agencies in the labour supply chain — and in some cases the end client — jointly and severally liable with the umbrella company for PAYE and NICs on payments made on or after 6 April 2026. It appears in neither of the two chapters a reader would consult.

#### DRAFT — NEW SECTION FOR V12

### UMBRELLA COMPANIES

#### Joint and several liability

"(1) Subsection (2) applies if—

(a) an individual ('the worker') personally provides services, or enters into arrangements with a view to personally providing services, to another person ('the client'),

(b) the worker is employed by a third person ('the umbrella company')—

(i) that carries on a business (whether or not with a view to profit and whether or not in conjunction with any other business) of supplying labour, and

(ii) that is not a company in which the worker has a material interest, and

(c) the umbrella company arrangements conditions are met.

(2) Each relevant party (see section 61Z) is, along with the umbrella company, jointly and severally liable to pay any amount payable, in accordance with the PAYE provisions, by the umbrella company in relation to a qualifying umbrella company payment.

(3) A 'qualifying umbrella company payment' means a payment made in respect of the employment of the worker to the extent that it is not in respect of the provision of services to a person other than the client."

(ITEPA 2003, s.61Y)

#### - Umbrella company arrangements conditions

"(4) The umbrella company arrangements conditions are that—

(a) there is a contract between the umbrella company and—

(i) the client, or

(ii) another person,

(b) under or in consequence of the contract—

(i) the services are provided, or

(ii) the umbrella company is paid, or otherwise provided with consideration, for the services, and

(c) if the contract is not between the umbrella company and the client—

- (i) there is a contract between the client and another person,
  - (ii) the provision of the services or of payment or other consideration for the services is also a consequence of that other contract (whether directly or as a result of a series of contracts involving other persons)."
- (ITEPA 2003, s.61Y(4))

## Relevant parties

"(1) If the contract referred to in subsection (4)(a) of section 61Y is between the umbrella company and a person other than the client, the person referred to in subsection (4)(c)(i) of that section is a relevant party.

(2) The client is a relevant party if—

(a) the contract referred to in subsection (4)(a) of that section is between the umbrella company and the client, or

(b) the person referred to in subsection (4)(c)(i) of that section—

(i) is connected with the umbrella company, or

(ii) is non-UK resident.

(3) In a case where—

(a) both the client and the person referred to in subsection (4)(c)(i) of section 61Y are non-UK resident,

(b) the provision of the services or payment or other consideration for the services is a consequence of a series of contracts involving other persons (other than the worker), and

(c) at least one of those persons is UK resident,

the person who is UK resident and is closest, by reference to that series of contracts, to the client is a relevant party." (ITEPA 2003, s.61Z)

The structure is that liability attaches first to the agency nearest the client. The client itself is drawn in where it contracts directly with the umbrella company, or where the intervening person is connected with the umbrella company or is non-UK resident. Where the chain is wholly offshore apart from one UK participant, that participant is the relevant party. The practical effect is that HMRC's recourse no longer ends with an umbrella company that has been dissolved.

### - Material interest

A company in which the worker has a material interest — broadly, more than 5% of the ordinary share capital, of distributions, or of assets on a winding up — is outside the definition of an umbrella company. But the worker is treated as not having a material interest where the interest results, to any extent, from arrangements a main purpose of which is to prevent the joint and several liability arising.

## Purported umbrella companies and disclosure

**SUPPLY — ITEPA 2003, ss.61Z1 and 61Z2.** s.61Z1 catches "purported" umbrella companies; s.61Z2 requires disclosure to persons made liable. Neither was retrieved.

## Commencement

Chapter 11 of Part 2 ITEPA 2003 was inserted by FA 2026, s.24 and applies in relation to payments made on or after 6 April 2026.

**Cross-reference for V2.** Add under a new sub-point: "- *Joint and several liability of parties in a labour supply chain: see V12.*" Note that legislation.gov.uk flags a pending amendment to FA 2026 Sch 20 by SI 2026/815 — worth confirming whether it touches this section before publishing.

## FINDING 14 · HIGH

### X1 Penalties (general) — build out the chapter

**Amendment:** substantial expansion · **Locate:** retain the three existing sections; add the following before them

**Why.** The chapter runs to about 450 words and three sub-points, with two FTT authorities. It is the first place a practitioner opens and it carries none of the cross-cutting doctrine — no Article 6, no burden of proof, no proportionality, nothing on death, partnerships or comparative time limits.

#### DRAFT — NEW OPENING SECTIONS

### PENALTIES AND ARTICLE 6

#### A tax penalty is a criminal charge for the purposes of Article 6

**SUPPLY — judgment paragraphs.** *Bendenoun v France* (1994) 18 EHRR 54; *Jussila v Finland* (App no 73053/01, GC, 23 November 2006); *Han and Yau v C&E Comrs* [2001] EWCA Civ 1048; *King v Walden* [2001] STC 822. I have not verified these citations from the reports and have deliberately not drafted quotations for them.

A tax penalty which is deterrent and punitive rather than compensatory constitutes a criminal charge for the purposes of Article 6, notwithstanding its classification in domestic law as civil. But tax penalties lie outside the hard core of criminal law, and the criminal-head guarantees apply with reduced stringency.

#### - But the ordinary tribunal procedure continues to apply

**SUPPLY — CF *Booth Ltd v HMRC* [2022] UKUT 217 (TCC), the passages on strike-out and on the criminal rules of evidence.** The proposition is that although a penalty is a criminal charge for Article 6 purposes, the tribunal's case management powers including strike-out remain available; penalties are dealt with under civil tribunal procedure; and criminal rules of evidence and procedure do not apply. Article 6 requires only a broad assessment of whether the charge is dealt with fairly when the proceedings are viewed as a whole.

[See P7: Striking out proceedings](#)

### BURDEN AND STANDARD OF PROOF

#### HMRC bears the burden on the ingredients of a penalty

**SUPPLY — *HMRC v Sintra Global Inc and Malde* [2025] EWCA Civ 1661, Sir Launcelot Henderson, 18 December 2025.** The passages on Article 6(2) and the presumption of innocence, on the civil standard of proof, and on the treatment of *HMRC v Zaman* [2022] UKUT 252 (TCC).

Subject to express statutory provision, HMRC bears the burden of proving the ingredients of a penalty, including deliberate conduct or dishonesty, as a general rule grounded in Article 6(2). The standard remains the civil standard, the balance of probabilities. The Court of Appeal declined to follow *Zaman*, as decided *per incuriam*, on the proposition that the taxpayer bears the burden when attacking the underlying tax within penalty proceedings; it approved *King v Walden* and *Euro Wines* [2018] EWCA Civ 46, and confined *Khan v HMRC* [2006] EWCA Civ 89 to its s.60(7) VATA context.

#### **- But the taxpayer bears the burden of displacing an assessment**

Where the taxpayer's challenge to the penalty proceeds by attacking the quantum of an underlying best judgment assessment, the burden of displacing that assessment remains on the taxpayer. The two limbs need to be kept distinct, and the distinction should be taken from the judgment rather than from any published summary — the summaries do not agree.

#### **- Under appeal to the Supreme Court**

*Sintra Global* is under appeal: UKSC 2026/0011, permission granted 30 March 2026, listed for hearing on 2 and 3 November 2026 before Lord Sales, Lord Burrows and Lady Rose.

#### **- Standard of proof for deliberate conduct**

The civil standard applies to an allegation of deliberate conduct, and there is no heightened standard by reason of the seriousness of the allegation.

[See Q10: Burden of proof](#)

[See Q11: Standard of proof](#)

### **PROPORTIONALITY**

#### **A penalty regime is not disproportionate merely because it operates harshly in a particular case**

**SUPPLY — *HMRC v Total Technology (Engineering) Ltd* [2012] UKUT 418 (TCC), on whether the regime as a whole is disproportionate and the "not merely harsh but plainly unfair" formulation; *HMRC v Trinity Mirror plc* [2015] UKUT 421 (TCC), on the absence of a cap; *Barry Edwards v HMRC* [2019] UKUT 131 (TCC), on the Sch 55 regime.**

These authorities were decided on the VAT default surcharge and on the FA 2009 Sch 55 late filing regime. They are currently stranded in X4, and belong here.

[See X9: Special circumstances and suspension](#)

[See N2-18: Human rights](#)



## PARTICULAR PERSONS AND SITUATIONS

### Death

**SUPPLY — TMA 1970, s.100A as currently in force, and its repeal history.** s.100A now contains only subsections (2) and (3); the former provision permitting penalty proceedings against personal representatives is no longer present, and neither FA 2007 Sch 24 nor FA 2008 Sch 41 contains an equivalent. The apparent consequence is that a behavioural penalty cannot be assessed on a deceased taxpayer's estate although the tax may be pursued by discovery against the personal representatives. I could not find authority or a manual page confirming this and it should not be stated without checking the repeal history.

### Partnerships

**SUPPLY — FA 2007, Sch 24, para 20 and FA 2009, Sch 55, para 25.**

Note that partnerships and trustees were expressly excluded from the FA 2021 volunteer regime by SI 2024/440, and partnership self assessment returns remain outside the points regime.

### Company officers

A penalty may be visited on an officer of a company personally in a number of situations: a deliberate inaccuracy attributable to an officer under FA 2007, Sch 24 para 19; the equivalent for failure to notify under FA 2008, Sch 41 para 22; the denied input tax penalty under VATA 1994, s.69D; and, from 6 April 2026, the CIS penalty under FA 2004, s.72B. In each case the aggregate is capped at 100%, and the officer acquires the same appeal rights as the company.

[See V2: Collection from third parties](#)

## TIME LIMITS FOR ASSESSING A PENALTY

### Comparative table

| Regime                                        | Limit                                                                                                                                   |
|-----------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|
| FA 2007, Sch 24 (inaccuracy)                  | 12 months from the end of the appeal period for the decision correcting the inaccuracy, or from the date of correction if no assessment |
| FA 2021, Sch 26 (late payment)                | 2 years                                                                                                                                 |
| FA 2008, Sch 36 para 50 (tax-related penalty) | Application to the Upper Tribunal within 12 months of the relevant date                                                                 |
| FA 2011, Sch 23 (data-holder)                 | 12 months from the liability date                                                                                                       |
| FA 2009, Sch 46 (SAO)                         | Earlier of 6 months from discovery and 6 years from the filing deadline                                                                 |
| VATA 1994, s.69D (officer liability)          | 2 years from the relevant denial decision                                                                                               |
| FA 2022, Sch 13 (non-resident promoters)      | 2 years from sufficient information                                                                                                     |
| FA 2004, s.72A (CIS, from 6 April 2026)       | 3 years from the determination becoming final                                                                                           |

**SUPPLY** — the paragraph references above should be checked and the corresponding provisions quoted in the usual way. The FA 2008 Sch 41 and FA 2009 Sch 55 limits are missing from the table because I did not want to state them without the text.

The existing sections — "Final assessment conclusive of tax due", "Limit on tax geared penalties in respect of the same tax" and "Extended meaning of deliberate does not apply" — should follow this material unchanged.

**Also worth a section.** The privilege against self-incrimination in penalty proceedings, and the effect of a contract settlement on penalty exposure. I have no verified material for either — the starting points are the *Allen* line on compelled disclosure of assets and, for COP9, *Gold Nuts Ltd v HMRC* — but they are the sort of thing this chapter should carry.

## FINDING 15 · HIGH

### X2 Procedure for penalty decisions — burden of proof

**Amendment:** new section · **Locate:** at the head of the chapter, before "HMRC must notify T as to how and on what basis a penalty has been calculated"

**Why.** The chapter says nothing at all about who must prove what — the words "burden", "onus", "proof" and "standard" do not appear on the page. That is a topic gap rather than a missing citation, and it means *Sintra Global* has nowhere to sit.

#### DRAFT — NEW SECTION

### Burden of proof

#### - HMRC must prove the ingredients of the penalty

See the fuller treatment at X1. In short: subject to express statutory provision, HMRC bears the burden of establishing the conditions for the penalty and the behaviour relied on, to the civil standard; where the taxpayer's challenge is to the quantum of an underlying best judgment assessment, the burden of displacing that assessment lies on the taxpayer.

[See X1: Penalties \(general\).](#)

#### - Consequences for directions

Where HMRC bears the burden it is usual, and increasingly common, for directions to require HMRC to serve witness evidence and skeleton arguments first. That order was directed in *James Hall v HMRC* [2026] UKFTT 124 (TC) in the context of a joint and several liability notice under FA 2020, Sch 13, where Judge Amanda Brown KC held that such a notice is a criminal charge for Article 6 purposes and that HMRC bears the burden, following *Sintra Global*.

**SUPPLY** — *James Hall v HMRC* [2026] UKFTT 124 (TC). Worth quoting. Note a date discrepancy: the judgment is dated 13 January 2026 but at least one published note gives 23 April 2026, which may be the release date. The judgment also held that the FTT has jurisdiction over public law grounds in a JSLN appeal — relevant to L4 and L5.

[See M12: Witness evidence](#)

## FINDING 16 · HIGH

### X9 Special circumstances and suspension — Cox in the Upper Tribunal

**Amendment:** replace the three Cox citations and add two sub-points · **Locate:** the sub-points citing "Cox v. HMRC [2024] UKFTT 510 (TC), Judge Gemmell"

**Why.** The page cites the FTT decision. It went to the Upper Tribunal, which is now the first UT authority on suspension conditions. The site's substantive treatment of one-off errors is already balanced, so this is a citation-currency fix rather than a correction — but the three propositions currently attributed to the FTT should be attributed to the UT.

#### DRAFT — NEW AND REPLACEMENT SUB-POINTS

##### - A one-off error is not automatically unsuitable for suspension

**SUPPLY — *Philip and Debra Cox v HMRC* [2026] UKUT 7 (TCC).** The passages on one-off inaccuracies and on the construction of "further" in Sch 24 para 14(3). This decision is on appeal from [2024] UKFTT 510 (TC), which the page currently cites.

Suspension is not precluded merely because the careless inaccuracy arose from a one-off event, although the nature of the error remains relevant to the exercise of the discretion. The existing sub-points "- Not likely appropriate for one off errors/transactions" (*Fane*), "- Can be appropriate if conditions would help avoid other one off errors" (*Testa*) and "- Flawed to reject solely on the basis that error was a one off" (*Eastman*) should be retained and read subject to the Upper Tribunal's resolution of them.

##### - Conditions need not target a "similar" inaccuracy

"Further" in Sch 24, para 14(3) means an additional penalty for careless inaccuracy that might arise in the future, not a penalty for an inaccuracy similar to the original one. The existing heading "- Link to avoiding similar inaccuracies just a factor" should be re-cast accordingly.

##### - Conditions must do more than require accurate returns

A condition amounting to no more than an obligation to file accurate returns would render para 14(6) redundant. Conditions must address the underlying behaviour, represent an improvement on previous practice and meet the SMART criteria. The tribunal's jurisdiction on a refusal to suspend remains the "flawed" test in the public law sense.

##### - Reform in prospect

HMRC's summary of responses on behavioural penalties reform, published 26 November 2025, records an intention to replace suspension with a warning for a first careless inaccuracy. Respondents were divided. No draft legislation has been published and no implementation date has been given, but if enacted this chapter will need rewriting and Cox will become a transitional authority.

**Attribution.** The three propositions currently sourced to Cox — "condition should be linked to avoiding further penalties of the same kind", "not to be interpreted so widely that suspension becomes effectively automatic", "must be practical and measurable" — should be re-sourced to the Upper Tribunal decision, and the first re-worded in light of the holding on "further".

## FINDING 17 · HIGH

### H1 Statutory clearances and rulings — the chapter is empty

**Amendment:** populate, or remove from the contents · **Locate:** the whole page

**Why.** The page renders the header, navigation, copyright line and disclaimer and nothing else — no headings, no statutory references, no body text — yet it is listed in the contents. A contents entry pointing at a blank page is worse than no entry.

DRAFT — CHAPTER SKELETON

## STATUTORY CLEARANCES

### Nature of a statutory clearance

A statutory clearance is a determination by HMRC, under an express statutory power, of how a provision applies to a proposed transaction. It is to be distinguished from a non-statutory clearance, which binds HMRC if at all only through legitimate expectation.

[See H2: Non-statutory clearances and rulings](#)

[See J11: Legitimate expectation](#)

### The principal statutory clearance provisions

**SUPPLY — a list is needed.** The obvious candidates: ITA 2007 s.701 (transactions in securities); CTA 2010 s.748; TCGA 1992 ss.138 and 139(5) (share exchanges and reconstructions); CTA 2009 s.831 (intangibles); ITA 2007 s.207 (EIS advance assurance); CTA 2010 s.1091 (purchase of own shares); the demerger clearances in CTA 2010 s.1091; and the FA 2000 Sch 15 (CVS) provisions. Each with its application procedure and time limit for HMRC to respond.

## ADVANCE TAX CLEARANCES FOR MAJOR INVESTMENT PROJECTS

### The gateway

"(1) An HMRC officer may, on the application of a qualifying person and if the officer considers it appropriate, give a clearance (an 'advance tax clearance') on how HMRC would decide, in relation to a qualifying investment project, questions relating to—

- (a) corporation tax;
- (b) value added tax;
- (c) stamp duty land tax;
- (d) income tax;
- (e) the PAYE Regulations;
- (f) the construction industry scheme.

(2) An investment project is a 'qualifying investment project' if it is expected to result in at least £1 billion of UK expenditure.

(3) The reference here to 'UK expenditure' is to expenditure on—

- (a) goods, intangible assets, or services (other than the provision of financing), which are used or consumed in, or

(b) immovable property in,

the United Kingdom or the UK sector of the continental shelf.

(4) Any apportionment of expenditure between expenditure that is and is not UK expenditure is to be made on a just and reasonable basis." (FA 2026, s.266)

### - Qualifying person

"(5) A person is a 'qualifying person', in relation to a qualifying investment project, if the person will incur (or is incurring) the UK expenditure for the purpose of the project or if the person—

(a) controls, or will control, such a person,

(b) is a member of a consortium which owns, or will own, such a person,

(c) jointly controls, or will jointly control, a company that is a joint venture and such a person, or

(d) is a partner in a partnership and those partners together control, or will control, such a person.

(6) Where there is more than one qualifying person in relation to an investment project, an application under this section must be made by one only of them with the agreement in writing of the other qualifying persons in relation to the project in existence at the time the application is made." (FA 2026, s.266)

## Binding effect and duration

**SUPPLY — FA 2026, ss.267 and 268.** Reported: a clearance binds HMRC for five years, extendable by up to five more, subject to a change of law or a decision of a final appeal court. Not retrieved.

## Revocation

**SUPPLY — FA 2026, ss.269 and 270.** Revocation on material change and on an information failure, each with a £5,000 penalty.

## Penalty for a false statement

**SUPPLY — FA 2026, s.271.** £10,000 for a careless or deliberate false statement.

### - The first binding clearance regime of general application

The significance is that, unlike the non-statutory clearance procedure treated at H2, an advance tax clearance binds HMRC as a matter of statute rather than through legitimate expectation. The grounds on which it may be revoked, and the treatment of a change of law or a subsequent appellate decision, are therefore the points on which disputes are likely to turn.

**Alternative.** If populating the chapter is not a near-term prospect, the safer course is to remove it from the contents and fold the FA 2026 regime into H2 under a heading distinguishing binding statutory clearances from non-binding ones.

## Part 3 — Medium priority

### FINDING 18 · MEDIUM

#### X3 New penalties for no return — scope and commencement

**Amendment:** new section at the head of the chapter · **Locate:** before "POINTS SYSTEM"

**Why.** The chapter sets out the Sch 24 mechanics in detail but presents them generically, for "a return". It never says which taxes are within the regime or from when — the first thing a reader needs, and the thing that determines whether the chapter is relevant at all.

#### DRAFT — NEW OPENING SECTION

### Scope and commencement

FA 2021, Sch 24 is commenced tax by tax by appointed day regulations. It does not apply generally.

| Tax                               | Status        | From                                                                                                         |
|-----------------------------------|---------------|--------------------------------------------------------------------------------------------------------------|
| VAT                               | In force      | Prescribed accounting periods beginning on or after 1 January 2023 (SI 2022/1278)                            |
| Income tax / CGT — MTD volunteers | In force      | 6 April 2024, for returns and payments for 2024-25 onwards; trustees and partnerships excluded (SI 2024/440) |
| Income tax / CGT — MTD mandated   | In force      | From the tax year the taxpayer joins MTD; mandation began April 2026                                         |
| Income tax / CGT — outside MTD    | Not commenced | FA 2009, Sch 55 continues to apply                                                                           |
| Corporation tax                   | Not commenced | FA 1998, Sch 18 continues to apply                                                                           |
| Vaping products duty              | Prospective   | 1 October 2026 (SI 2026/331)                                                                                 |

#### - Sch 25 not commenced for VAT

The penalty for deliberately withholding information by failing to make a return, in FA 2021, Sch 25, was not commenced for VAT. A VAT case in which no return is delivered continues to be dealt with under FA 2007, Sch 24 and FA 2008, Sch 41. The DELIBERATELY WITHHOLDING INFORMATION section of this chapter should be marked accordingly.

#### - Power to cancel individual penalty points

**SUPPLY — FA 2021, Sch 24, para 6A, inserted by FA 2026, s.262, in force 1 April 2026.** HMRC may cancel an individual penalty point and withdraw the associated assessment, with a 12-month bar on re-awarding. Not retrieved.

[See X4: Penalties for late return, for the taxes still within FA 2009, Sch 55](#)

## FINDING 19 · MEDIUM

### V7 Directors' disqualification — HMRC's own standing

**Amendment:** new section; amend the "Burden of proof on Secretary of State" heading · **Locate:** after the existing treatment of CDDA 1986, s.8ZA

**Why.** The chapter reaches s.8ZA and stops, and presents disqualification as a Secretary of State jurisdiction. FA 2024 gave HMRC its own standing to apply, on an avoidance-promotion ground, with a mandatory limb.

#### DRAFT — NEW SECTION

### DISQUALIFICATION FOR PROMOTING TAX AVOIDANCE

#### HMRC's power to apply

"Disqualification of directors etc promoting tax avoidance schemes. Schedule 13 makes provision for HMRC to apply for disqualification orders under the Company Directors Disqualification Act 1986 in connection with the promotion of tax avoidance schemes." ([FA 2024, s.33](#))

#### - Mandatory disqualification following a winding up under FA 2022, s.85

**SUPPLY — CDDA 1986, s.8ZF.** Reported: where a person was a director of a company wound up under FA 2022, s.85 (winding up of companies promoting tax avoidance schemes), the court must disqualify for between 2 and 15 years; an application must be made within 3 years of the winding up order.

#### - Discretionary disqualification of a POTAS promoter

**SUPPLY — CDDA 1986, s.8ZG.** Reported: the court may disqualify for up to 15 years a person whose conduct as a director of a company that is a promoter within FA 2014, Part 5 makes them unfit to be concerned in the management of a company.

#### - Applications by an officer of Revenue and Customs

The institutional change matters as much as the substantive one. Applications under ss.8ZF and 8ZG may be made by an officer of Revenue and Customs, not only by the Secretary of State acting through the Insolvency Service. HMRC may also accept disqualification undertakings as an alternative to a court order where the unfitness condition is met and it is in the public interest; such undertakings are registrable. The existing heading "Burden of proof on Secretary of State" should be re-cast as "Burden of proof on the applicant".

Note that the definition of promoter for these purposes extends to arrangements producing a VAT or other indirect tax advantage.

**SUPPLY — the commencement provision for FA 2024, Sch 13.** I could not locate an express commencement provision and it should be established before the section is published.

[See E6: DOTAS](#)

## FINDING 20 · MEDIUM

### Y4 Failure to prevent facilitation — the failure to prevent fraud offence

**Amendment:** new category section, or a sibling chapter · **Locate:** after the existing CFA 2017 material

**Why.** The natural companion offence to CFA 2017 ss.45–46 has been in force for nearly a year and is unmentioned in a chapter devoted to corporate failure-to-prevent liability.

#### DRAFT — NEW SECTION

### FAILURE TO PREVENT FRAUD

#### The offence

**SUPPLY — ECCTA 2023, ss.199 to 201 and Sch 13.** The offence, the "associated person" definition, the list of base fraud offences in Sch 13, and the reasonable procedures defence.

#### - In force from 1 September 2025

"Sections 199 to 206 of, and Schedule 13 to, the Act (failure to prevent fraud) come into force on 1st September 2025, so far as not already in force." ([SI 2025/349, reg 3](#))

#### - Relationship with the facilitation offences

The two regimes are distinct and may both be engaged on the same facts. CFA 2017, ss.45 and 46 penalise a relevant body's failure to prevent an associated person from criminally facilitating *another person's* tax evasion; the ECCTA offence penalises a large organisation's failure to prevent fraud committed by an associated person *for the organisation's benefit*. The CFA offences apply to bodies of any size; the ECCTA offence is confined to large organisations by reference to a turnover, balance sheet and employee test. Both turn on a reasonable procedures defence, and the government guidance under each should be read together.

**SUPPLY — the large organisation thresholds in ECCTA 2023, s.201 (or as they appear in the Act), and the Home Office guidance under s.204.**

**On the absence of case law.** The chapter cites no authority at all. There is essentially none on CFA 2017 ss.45–46, so that is unavoidable rather than a defect, and I would not treat it as a finding. It may be worth saying so on the page.

## FINDING 21 · MEDIUM

### I13 Gathering for foreign tax authorities — automatic exchange of information

**Amendment:** build out the chapter · **Locate:** the whole page, which currently runs to about 95 words

**Why.** The chapter consists of two headings, a note reading "e.g. art 27 of Aus treaty" and one case. The whole automatic exchange architecture is absent, and the cryptoasset reporting obligations have been live since 1 January 2026.

#### DRAFT — CHAPTER SKELETON



## EXCHANGE ON REQUEST

### Treaty exchange of information articles

Retain the existing material, including *R (oao Derrin Brother Properties Ltd) v HMRC* [2014] EWHC 1152 (Admin), and add the domestic gateway.

**SUPPLY** — FA 2008, Sch 36 para 63 and the international provisions; TIOPA 2010, ss.173 and 174; and the Mutual Assistance provisions.

## AUTOMATIC EXCHANGE

### Common Reporting Standard

**SUPPLY** — the International Tax Compliance Regulations 2015 (SI 2015/878) as amended. Due diligence, reporting and penalties.

### Cryptoasset Reporting Framework

#### - In force from 1 January 2026

The Reporting Cryptoasset Service Providers (Due Diligence and Reporting Requirements) Regulations 2025, SI 2025/744, made under FA 2002, s.136 and F(No.2)A 2023, s.349(2), came into force on 1 January 2026. They impose due diligence, registration with HMRC, reporting and record-keeping obligations on UK reporting cryptoasset service providers, with a penalty regime in Part 3 covering due diligence failures, late or inaccurate reports, invalid self-certifications, failure to notify users and failure to register.

**SUPPLY** — SI 2025/744, regs 1, 10 and Part 3 (regs 11 to 25).

#### - Extension to UK-resident users

FA 2026, s.275 extends the Regulations to cover UK-resident cryptoasset users, so that reporting is not confined to what the international framework requires; s.276 permits regulations for connected matters falling outside the OECD Framework.

### Digital platform reporting

**SUPPLY** — the Platform Operators (Due Diligence and Reporting Requirements) Regulations 2023, SI 2023/817, Part 3.

### Mandatory disclosure rules

**SUPPLY** — the International Tax Enforcement (Disclosable Arrangements) Regulations 2023 (SI 2023/38).

[See I16: International information sharing](#)

**Structure.** I13 and I16 currently overlap and are both very short — I16 runs to about two thousand characters. They may be better merged into a single chapter on international information exchange.

## FINDING 22 · MEDIUM

### 18 Data-holder notice — the ongoing reporting regime

**Amendment:** new section · **Locate:** after the existing FA 2011, Sch 23 material

**Why.** The chapter covers one-off notices only. FA 2026 added a standing bulk-reporting obligation alongside them.

DRAFT — NEW SECTION

#### ONGOING DATA REPORTING

##### A standing obligation, not a notice

FA 2026, s.255 and Sch 23 enable regulations requiring relevant data-holders to supply data to HMRC on a recurring basis, with verification and record-retention requirements, a penalty regime, a reasonable excuse defence and appeal rights to the First-tier Tribunal. The regime sits alongside FA 2011, Sch 23, which is not repealed: a one-off data-holder notice remains available. The difference of principle is that the FA 2011 power is exercised case by case, whereas the new regime imposes a standing obligation without any notice being given.

**SUPPLY — FA 2026, s.255 and Sch 23.** The core obligation and the penalty provisions, including the amounts. Not retrieved, and I would not state the penalty figures without them.

[See I2: Information powers: general](#)

## FINDING 23 · MEDIUM

### New section — dishonest conduct of tax agents

**Amendment:** new section in X7, or a new chapter · **Note:** nothing to correct — the regime is absent altogether

**Why.** FA 2012 Sch 38 does not appear anywhere on the site, in its original or its amended form. It is one of the few regimes under which an adviser is personally exposed, and it was substantially rewritten with effect from 1 April 2026.

DRAFT — SECTION SKELETON

#### SANCTIONS FOR TAX AGENTS

##### Sanctionable conduct

**SUPPLY — FA 2012, Sch 38 as amended by FA 2026, s.250 and Sch 22, in force 1 April 2026.** The trigger, formerly "dishonest conduct", is now "sanctionable conduct": conduct engaged in with the intention of bringing about a loss of tax, with no requirement that a loss actually occur. That is a material widening and the words matter.

##### File access notices

**SUPPLY — FA 2012, Sch 38 paras 7 to 15.** Case A (reasonable grounds to suspect) and Case B (conviction within 12 months); the tribunal approval requirements, which differ as between the agent and a third party under the 2026 amendments.

## Conduct notices and penalties

**SUPPLY — FA 2012, Sch 38 paras 4 and 26 to 30 as amended.** Reported new structure: higher of 70% of potential lost revenue or £7,500, reduced to 35% on prompted and 20% on unprompted disclosure, rising to 85% or 100% for repeat conduct, capped at £1m and £5m for repeat conduct. These figures came through a summarising layer and should not be published without checking.

## Publication

**SUPPLY — FA 2026, ss.251 and 252.**

### - Commencement and transitional treatment

HMRC may charge penalties only for sanctionable conduct occurring on or after 1 April 2026, but may seek pre-commencement documents in order to establish the test.

[See A11: Registration of tax advisers](#)

[See A10: Tax agents' duty of care](#)

## FINDING 24 · MEDIUM

### Penalties Part — regimes with no home

**Amendment:** a triage decision, then new sections · **Suggestion:** a signpost section in X1 in the meantime

**Why.** A reader who cannot find a regime in the penalties Part will reasonably assume it is dealt with elsewhere on the site. For the following, it is not dealt with anywhere.

DRAFT — SIGNPOST SECTION FOR X1, PENDING FULLER TREATMENT

### Other penalty regimes

The following are not treated in this Part. Until they are, the statutory references are:

| Regime                                              | Provision                                        |
|-----------------------------------------------------|--------------------------------------------------|
| Offshore asset moves                                | FA 2015, Sch 21                                  |
| Asset-based penalties                               | FA 2016, Sch 22                                  |
| Offshore penalty categories and uplift              | FA 2016, Sch 21                                  |
| Enablers of offshore evasion                        | FA 2016, Sch 20                                  |
| Serial tax avoidance                                | FA 2016, Sch 18                                  |
| Failure to correct offshore non-compliance          | F(No.2)A 2017, Sch 18                            |
| Enablers of defeated tax avoidance                  | F(No.2)A 2017, Sch 16                            |
| GAAR penalty                                        | FA 2013, s.212A                                  |
| Senior accounting officer                           | FA 2009, Sch 46                                  |
| Publishing details of deliberate defaulters         | FA 2009, s.94                                    |
| Denied input tax (Kittel penalty)                   | VATA 1994, s.69C                                 |
| Officer liability for the s.69C penalty             | VATA 1994, s.69D                                 |
| Officer liability, inaccuracy and failure to notify | FA 2007, Sch 24 para 19; FA 2008, Sch 41 para 22 |
| Non-resident promoters                              | FA 2022, Sch 13                                  |
| Digital platform reporting                          | SI 2023/817, Part 3                              |
| Trust registration                                  | SI 2017/692, reg 76                              |

Of these, VATA 1994, ss.69C and 69D and the officer liability provisions in FA 2007, Sch 24 para 19 are the ones most often needed in practice, and would repay treatment first.

## FINDING 25 · MEDIUM

### V14 CIS — the gross payment status compliance test

**Amendment:** replace the cross-reference with the test · **Locate:** "Compliance test", currently a bare reference to "Part 6 of the 2005 regulations"

**Why.** The compliance test is the heart of gross payment status and it is not set out. It also changed on 6 April 2024.

DRAFT

## Compliance test

**SUPPLY — FA 2004, Sch 11, paras 4, 8 and 12, as amended.** The compliance test for individuals, firms and companies respectively, and the corresponding Table in the CIS Regulations 2005, Part 6.

### - VAT added to the test from 6 April 2024

FA 2024, s.35 inserted into each of paras 4, 8 and 12 of Sch 11 a new obligation:

"(v) to account for or pay VAT as required by or under the Value Added Tax Act 1994, and" ([FA 2004, Sch 11, paras 4, 8 and 12](#))

The amendment applies to applications for gross payment status made on or after 6 April 2024 and to registrations in effect on or after that date. VAT non-compliance occurring before 6 April 2024 is carved out of cancellation determinations by FA 2024, s.35(5). SI 2024/308 provides that minor VAT compliance

failures do not cause refusal or removal, and removes most payments by commercial landlords to tenants for construction work from the scope of the scheme.

#### - Cancellation ground broadened

FA 2024, s.35 also broadened s.66 by replacing "any such provision" with "an obligation arising under or in connection with any provision of this Chapter or of regulations made under it", and extending para (b) to fraudulently incorrect returns or information given in connection with PAYE regulations, self assessment returns and VAT.

### FINDING 26 · MEDIUM

#### Penalties Part — URL slug collision and inconsistent numbering

**Amendment:** site configuration, not text

**Why.** `/1-penalties-general` serves "X7: Other penalties", while "X1: Penalties (general)" sits at `/1-penalties-general-1`. Nothing is broken, but it is the slug a reader or a search engine would guess, and any external citation of it lands on the wrong chapter.

#### RECOMMENDED

1. Move "Other penalties" to a slug of its own — `/5-other-penalties` — and redirect the old URL.
2. Move "Penalties (general)" to `/1-penalties-general`, with a redirect from the `-1` form.
3. Settle on one numbering scheme. Two are currently live: the navigation labels the Part V1 to V8 while body titles read X1, X3, X4, X5, X7 and X8, with "V7" denoting two different pages depending on which scheme is read. The static rebuild uses the X series throughout, so aligning the live site to X now would avoid a second migration.
4. The same defect class affects `/2-offshore-activities-offences`, which serves "Y1. Fraud offences".

**Context.** If the static rebuild in the git repository is going to be published, most of this resolves itself — the rebuild names each file from its own number and title, and the conversion report records 4,399 internal links rewritten with none broken. It may be more efficient to fix the numbering there than on the live Wix site.

### FINDING 27 · MEDIUM

#### Q22 Witness evidence — oral evidence from abroad

**Amendment:** repoint the link, amend the source label, add one sub-point · **Locate:** the link labelled "(FTT Guidance on Taking Oral Evidence From Abroad)"

**Why.** The page links the guidance of 28 July 2022, which was replaced on 2 June 2025. Most of the timetable substance on the page survives — the 14-day window is already there — but the fee is new and unmentioned.

#### DRAFT

Replace the link target with the June 2025 Practice Statement, and the source label with:

[\(Practice Statement, First-tier Tribunal \(Tax Chamber\): Updated Guidance on Taking Oral Evidence from Abroad, 2 June 2025\).](#)

#### - FCDO fee

Where the witness is in a state which has not consented to the taking of evidence, or which has not responded, the party must apply to the FCDO Taking of Evidence from Abroad Unit. A fee is payable, currently £150, and the FCDO's stated response window is six weeks. Permission cannot be granted if the state refuses or does not respond. The fee and the six-week period should be built into any timetable, and the fee is a disbursement the client must fund.

**SUPPLY — the June 2025 Practice Statement, para 16, for the fee wording.**

Written evidence, written submissions from abroad, witnesses in UK Overseas Territories and Crown Dependencies, and mere observers remain outside the permission requirement.

## Part 4 — Low priority

### FINDING 28 · LOW

#### Q1 Form and format of hearing / T3 Role of the Upper Tribunal — remote participation

DRAFT — NEW SUB-POINT FOR BOTH CHAPTERS

#### - Upper Tribunal guidance on remote participation

Guidance on remote participation in proceedings in the Upper Tribunal (Tax and Chancery Chamber) was issued in June 2026, superseding guidance of 25 July 2023 and 31 October 2025. It sets default hearing formats and expresses a preference for hybrid over fully remote hearings on open justice grounds, and requires participation from outside the United Kingdom to comply with the requirements for taking evidence abroad.

**SUPPLY — the June 2026 guidance itself.** I could not read the PDF text. The reported defaults are that hearings of half a day or less default to remote and substantive appeals and longer hearings default to in-person, with a discretion to disapply in the interests of justice — but that should be taken from the document.

[See Q22: Witness evidence, on evidence from abroad](#)

### FINDING 29 · LOW

#### R10 Unreasonable behaviour costs — failure to consider ADR

DRAFT — NEW SUB-POINT

#### - Unreasonable failure to consider or enter into ADR

The Alternative Dispute Resolution Practice Statement for the First-tier Tribunal (Tax Chamber), issued 9 May 2025 and amended 26 January 2026, states that an unreasonable failure to consider or enter into ADR may, in an appropriate case, result in costs being awarded against a party under rule 10(1)(b). Costs of ADR

are recoverable in a case within the Complex costs regime. This is a new costs risk, and the practice statement replaced the statement of 15 June 2020.

**SUPPLY — the ADR Practice Statement, for the exact words of the costs warning.**

[See N11: Adjournments and stays](#)

[See R9: Costs in complex cases](#)

N11 already states the automatic stay periods correctly — 30 days to consider ADR, 120 days where the parties are engaged in it. Only the costs warning is missing, and it belongs in the costs chapter rather than in N11.

## **FINDINGS 30 TO 33 · LOW**

### **Citation defects, cross-referencing and one optional addition**

#### **DRAFT — FOUR SHORT AMENDMENTS**

#### **30. X6 Penalties for inaccuracy — neutral citation**

Read [Delphi Derivatives Limited v. HMRC \[2026\] UKUT 21 \(TCC\)](#) for "[2026] UKUT 21 (TC)". The Tax and Chancery Chamber suffix is TCC; TC denotes the First-tier Tribunal Tax Chamber. The chapter is otherwise well up to date and already carries *Mainpay* and *Delphi* on the causation point.

#### **31. X10 Follower notices — missing year**

Read [Perrin v. HMRC \[2018\] UKUT 156 \(TCC\)](#) for "Perrin v HMRC UKUT 156 (TCC)". The citation is given in full at A3.

#### **32. X3 and X4 — cross-reference for reasonable excuse**

Both chapters state the reasonable excuse test from the statute with no authority and no cross-reference. X5 handles this correctly, closing its reasonable excuse section with a link. Add the same line to each:

[See A3: Reasonable excuse](#)

#### **33. V3 Direct recovery and deductions — operational status (optional)**

The statutory safeguards on this page are stated correctly and need no amendment. If you want the practice context, a single sub-point would do it: the power was paused during the coronavirus pandemic, restarted in a controlled phase in September 2025 and is being deployed more widely from April 2026; HMRC's published safeguards include a face-to-face visit before a debt is considered for direct recovery, which is not a statutory requirement and does not appear in Sch 8. This is practice rather than law, and it is a matter of taste whether a statute-focused chapter should carry it — but a dormant power now being used again is the kind of thing a reader wants flagged.

## Schedule — legislation and judgments I need

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You offered to supply legislation. This is what would let me complete every quotation marked **SUPPLY** above. The most useful form is plain text or a PDF of the provision as currently in force — the consolidated text rather than the amending words, except where noted.

**Why I am asking rather than fetching.** The retrieval route available to me passes each page through a summarising layer before I see it. In testing on these very provisions it returned paraphrase inside quotation marks, silently elided a penalty table behind a placeholder, and dropped subsections without saying so. For a handbook that quotes statute verbatim in the body text, that is not a safe input. Where I have quoted statute above, it came back clean and, in the case of FA 1998 Sch 18 para 17, corroborated from two independent routes — but even those are worth an eye before publication.

### A. Highest priority — blocks a critical amendment

---

| Provision                                                                                                               | Needed for | Note                                                                                                                                                                               |
|-------------------------------------------------------------------------------------------------------------------------|------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>FA 2004, ss.315, 315A–315E</b> as substituted by FA 2026, s.216                                                      | Finding 4  | The whole DOTAS penalty code. I need s.315(1) — the penalty table — and s.315B, which identifies who determines the penalty, above all. I have s.315(2), s.315(4) and s.315A only. |
| <b>TMA 1970, s.98C</b> — confirmation of omission                                                                       | Finding 4  | Ideally the amendment note recording the omission and its date.                                                                                                                    |
| <b>FTT (Tax Chamber) Rules 2009, rule 35</b> as consolidated at 2 March 2026                                            | Finding 1  | The amendments are certain; I need the consolidated rule so the unamended words are right.                                                                                         |
| <b>FA 2026, ss.223–249 and Sch 20</b>                                                                                   | Finding 9  | Registration of tax advisers. s.223 is the essential one. Also SI 2026/807 and SI 2026/815.                                                                                        |
| <b>TMA 1970, s.106A</b> and <b>FA 2003, s.95</b> as amended; <b>FA 2024, s.32</b> including the commencement subsection | Finding 5  | The 14-year maxima and the offence-date rule.                                                                                                                                      |
| <b>VATA 1994, Sch 1 para 1</b> as amended, and <b>SI 2024/307</b>                                                       | Finding 6  | Figures are certain; I want the words.                                                                                                                                             |



## B. Penalties

| Provision                                                                                                                                                             | Needed for                          |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------|
| <b>FA 2021, Sch 26</b> , paras 4, 5, 6, 7, 8, 9, 12, 13, 14, 15, 16, 17, 17A and 18, as amended by SI 2025/589 and FA 2026, s.263                                     | Finding 10 — the whole new section  |
| <b>SI 2025/589</b> , reg 1 (the application provision)                                                                                                                | Finding 10                          |
| <b>SI 2022/1278</b> and <b>SI 2024/440</b> (appointed day regulations), plus the 2026 appointed-day instrument for mandated MTD taxpayers, which I could not identify | Findings 3, 10, 18                  |
| <b>FA 2021, Sch 24, para 6A</b> , inserted by FA 2026, s.262                                                                                                          | Finding 18                          |
| <b>FA 2007, Sch 24, para 20</b> ; <b>FA 2009, Sch 55, para 25</b> ; <b>TMA 1970, s.100A</b> and its repeal history                                                    | Finding 14 — partnerships and death |
| <b>FA 2008, Sch 41</b> and <b>FA 2009, Sch 55</b> assessment time limits                                                                                              | Finding 14 — the comparative table  |
| <b>FA 2012, Sch 38</b> as amended by FA 2026, s.250 and Sch 22                                                                                                        | Finding 23                          |
| <b>FA 2021, Sch 29</b> and its commencement; <b>FA 2009, s.102 and Sch 54</b> ; <b>SI 2011/2446 regs 3 and 4</b> as amended by <b>SI 2025/386</b>                     | Finding 8 — repayment interest      |

## C. Finance Act 2026, other Parts

| Provision                                                                                                                                                  | Needed for                                   |
|------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------|
| <b>s.220</b> and the inserted <b>FA 2004, ss.62C, 72B and 72C</b>                                                                                          | Finding 7 — I have ss.62A, 62B, 72A and s.66 |
| <b>s.24</b> and the inserted <b>ITEPA 2003, ss.61Z1 and 61Z2</b>                                                                                           | Finding 13 — I have ss.61Y and 61Z           |
| <b>ss.159–176</b> (prohibition on promotion; promoter action notices), and the commencement provision in s.165                                             | Finding 11 — I have s.159(1) only            |
| <b>ss.177–208</b> (anti-avoidance information notices), in particular ss.178, 179, 181, 183, 185, 187, 198, 203 and 205, and the commencement of Chapter 3 | Finding 11                                   |
| <b>ss.209–215</b> (privilege declaration; removal of the exemptions), and <b>s.217</b>                                                                     | Finding 11 and the privilege chapters        |
| <b>s.255 and Sch 23</b> (ongoing data reporting)                                                                                                           | Finding 22                                   |
| <b>ss.267–274</b> (advance clearances: binding effect, duration, revocation, penalties)                                                                    | Finding 17 — I have s.266                    |
| <b>ss.256 and 257</b> (MTD scope and exemptions)                                                                                                           | Finding 12                                   |

## D. Other legislation

| Provision                                                                                                      | Needed for                           |
|----------------------------------------------------------------------------------------------------------------|--------------------------------------|
| <b>CDDA 1986, ss.8ZF and 8ZG</b> , and the commencement provision for <b>FA 2024, Sch 13</b>                   | Finding 19                           |
| <b>ECCTA 2023, ss.199–206 and Sch 13</b> , including the large organisation thresholds                         | Finding 20                           |
| <b>SI 2025/744</b> , regs 1, 10 and Part 3; <b>SI 2015/878</b> ; <b>SI 2023/817 Part 3</b> ; <b>SI 2023/38</b> | Finding 21                           |
| <b>FA 2004, Sch 11, paras 4, 8 and 12</b> as amended, and the CIS Regulations 2005 Part 6 Table                | Finding 25                           |
| <b>F(No.2)A 2017, s.60 and Sch 14</b> ; <b>SI 2021/1076</b> as amended                                         | Finding 12 — MTD for income tax      |
| The statutory source, if any, for HMRC's <b>first-year 30-day easement</b> in MTD                              | Finding 12 — currently guidance only |

## E. Judgments

| Judgment                                                                                                                 | Needed for      | Note                                                                                                                                                                       |
|--------------------------------------------------------------------------------------------------------------------------|-----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>HMRC v Sintra Global Inc and Malde [2025] EWCA Civ 1661</b>                                                           | Findings 14, 15 | The passages on Art 6(2), the standard of proof, and the treatment of <i>Zaman</i> . Published summaries disagree on the second limb, so this must come from the judgment. |
| <b>Philip and Debra Cox v HMRC [2026] UKUT 7 (TCC)</b>                                                                   | Finding 16      | One-off inaccuracies; the construction of "further" in Sch 24 para 14(3); the SMART criteria.                                                                              |
| <b>CF Booth Ltd v HMRC [2022] UKUT 217 (TCC)</b>                                                                         | Finding 14      | Article 6 and the availability of strike-out.                                                                                                                              |
| <b>James Hall v HMRC [2026] UKFTT 124 (TC)</b>                                                                           | Finding 15      | Also note the date discrepancy — judgment dated 13 January 2026, one published note gives 23 April 2026.                                                                   |
| <b>Total Technology [2012] UKUT 418 (TCC), Trinity Mirror [2015] UKUT 421 (TCC), Barry Edwards [2019] UKUT 131 (TCC)</b> | Finding 14      | Proportionality. Already on the site at X4 — may only need relocating.                                                                                                     |
| <b>Bendenoun, Jussila, Han and Yau, King v Walden</b>                                                                    | Finding 14      | Citations unverified. Please confirm before I draft.                                                                                                                       |

## F. Points to settle before publishing

- **FA 2026 Royal Assent.** legislation.gov.uk reads 18 March 2026; bills.parliament.uk says 20 March. The enacting formula is the better source, but the date appears in several of the amendments above.
- **FA 2004, s.62A(3)** as retrieved opens "a 'connected party' is" with no dash, and **s.72A(3)** reads "any appeal or final appeal" where "further appeal" is expected. Both look like conversion artefacts; I have corrected the second and left the first.
- **FA 2004, s.66** as retrieved has no subsection (8) — it runs (7) then (9). FA 2026 s.220 appears to have omitted it; worth confirming.
- **ITEPA 2003, s.61Y(7)** defines "arrangements" as including "any agreement, understanding, scheme transaction or series of transactions" — almost certainly "scheme, transaction". Check the comma.
- **SI 2026/815** is flagged on legislation.gov.uk as making pending changes to FA 2026 Sch 20. It is in force 17 August 2026 and may bear on finding 9.

- **The 4% first late payment penalty from 2027-28** appears in HMRC's MTD guidance but I could find no implementing SI amending FA 2021 Sch 26. Sch 26 currently reads 3%. Worth resolving before finding 10 is published, since the chapter will otherwise need amending again within the year.

## G. Two things I did not draft, and why

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**The privilege against self-incrimination in penalty proceedings** (finding 14). The starting points are the *Allen* line on compelled disclosure of assets and, in the COP9 context, *Gold Nuts Ltd v HMRC*. I could not verify either citation and did not want to put an unverified authority into a chapter whose purpose is to be relied on. If you tell me which authorities you would want cited, I will draft the section.

**The effect of a contract settlement on penalty exposure** (finding 14). H5 treats contract settlements at length and X1 should cross-refer, but the doctrinal question — whether and when a settlement forecloses a later penalty, and how CRCA 2005 s.5 bears on it — is not something I could establish from the sources available. It may be that you already have a settled view, in which case it is a short section.

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**Drafted 15 August 2026** against the review findings of the same date. Statutory text quoted in the body of this document is reproduced as retrieved and should be checked against the source before publication; passages marked SUPPLY are deliberately left blank. Findings 1, 2 and 9 have deadlines attached and are the ones I would do first.